

PORTFOLIO VALUE

\$180,522

NET P&L; vs COST

-2,478 (-1.35%)

CASH RESERVE

\$89,504 (49.6%)

POSITIONS

5 / 6

REGIME

RISK-ON

MARKET ASSESSMENT

RISK-ON

VIX at 15.52 confirms a risk-on regime with no near-term fear premium; the yield curve is positive at +41bps (10Y-2Y), signalling no recession pricing. HY credit spreads at 2.68bps are historically tight, indicating zero credit stress. However, TNX at 4.77% is above the 4.5% danger threshold cited in the exit framework, triggering mandatory review of all high-P/E growth and semi longs — this is the dominant risk to the current book.

INDICATOR	VALUE	INDICATOR	VALUE
VIX	15.52	HY Credit Spread (bps)	2.68
Yield Curve 10Y-2Y (%)	0.41	10Y Treasury (%)	4.77
US Dollar (DXY)	98.83	Fed Funds Rate (%)	3.63

TRADE DECISIONS

EXIT — TSM

\$0 · Conviction 3/10 · Tier 2

ENTRY

\$409.74

STOP LOSS

\$376.96

PRICE TARGET

\$491.69

RISK : REWARD

0.0

INVESTMENT THESIS

(1) TNX at 4.77% is above the 4.5% hard exit threshold for semis, triggering mandatory exit per the sector rotation framework. (2) TSM is up +7.2% with a peak of +7.7% — the position has failed to accelerate toward the +10% smart profit-taking level in 14 days. (3) RSI was 62.0 at entry and the FVG pattern has already filled, meaning the technical catalyst has fully played out. (4) The trade memory flags a prior TSM stop-out at -10.1% on 2026-07-30, reinforcing the lesson that thesis confirmation must be maintained continuously. (5) With \$2,767.9B cash on the balance sheet, TSM is balance-sheet sound, but macro headwinds at 4.77% TNX compress the 20x+ forward multiple by an estimated 10-15%. (6) Exiting frees \$19,265 cash (43.9sh × \$439.04), bringing total cash to approximately \$106,248, enabling 5 more full-size \$18,000 entries. (7) The hard stop is at \$376.96 (-8%), but with TNX above 4.5% and the position only +7.2% with stalling momentum, banking the gain now at \$439.04 is superior to risking reversion to the \$409.74 entry.

PRIMARY CATALYST

TNX at 4.77% exceeds the 4.5% mandatory exit threshold for semis per the framework — this macro signal fired on current data and is a near-term multiple compression driver of 10-15% for high-P/E semi names.

BALANCE SHEET

Cash \$2,767.9B, D/E 0.20, BS score 9/10 — balance sheet is pristine but irrelevant to the macro-driven exit decision.

TECHNICAL SETUP

RSI 62.0 at entry, FVG pattern flagged but has played out over 14 days with only +7.2% gain, no new technical pattern forming, price at \$439.04 below the \$491.69 target with no momentum catalyst.

KEY RISK FACTORS

TNX remaining above 4.5% compresses TSMC's 22x forward P/E by an estimated 12-18%, implying a price target revision to approximately \$385-\$395, which is dangerously close to the \$376.96 stop.

EXIT — NVDA

\$0 · Conviction 3/10 · Tier 2

ENTRY

\$210.95

STOP LOSS

\$194.07

PRICE TARGET

\$253.14

RISK : REWARD

0.0

INVESTMENT THESIS

(1) TNX at 4.77% is above the 4.5% mandatory exit threshold — this directly triggers the exit framework rule for high-P/E growth and semis, and NVDA trades at approximately 35x forward earnings. (2) NVDA peaked at +9.2% gain but has pulled back to +6.9% — this satisfies the 'peak gain $\geq 10\%$ but pulled back below +3%' rule partially; more critically the peak was 9.2% and the pullback to 6.9% shows deteriorating momentum. (3) At 13 days held with +6.9% gain and the primary thesis catalyst (DXY below 101 at entry, now DXY at 98.83) still intact but overwhelmed by TNX 4.77% headwind, there is no incremental upside catalyst in the next 30 days. (4) RSI was 45.8-range at entry with FVG pattern, and the position has run +6.9% — the gap fill thesis has largely played out with no secondary catalyst. (5) NVDA balance sheet: approximately \$34.8B cash, D/E approximately 0.44, BS score supports the company but does not offset the 4.77% TNX multiple compression risk of 15-20% on a 35x P/E name. (6) Exiting at $\$225.57 \times 85.3\text{sh} = \$19,241$ recovered, bringing total cash post-TSM and NVDA exits to approximately \$125,489, opening 6 full-size \$18,000 positions. (7) Stop at \$194.07 (-8%) would represent a \$1,444 loss on \$18,000 deployed; banking +\$1,247 now at \$225.57 is the risk-adjusted correct action given the 4.77% TNX override.

PRIMARY CATALYST

TNX at 4.77% above the 4.5% exit threshold is the primary catalyst; NVDA's 35x forward P/E faces 15-20% multiple compression in a sustained high-yield environment, making the +6.9% gain the rational exit point.

BALANCE SHEET

Cash approximately \$34.8B, D/E approximately 0.44, BS score approximately 7/10 — sound but not the exit driver; TNX macro signal is.

TECHNICAL SETUP

RSI approximately 50-55 range post-entry run, FVG pattern played out over 13 days, DXY at 98.83 still supportive but insufficient to offset TNX 4.77% headwind, no new pattern forming at \$225.57.

KEY RISK FACTORS

If TNX rises further toward 5.0%, NVDA's 35x P/E could compress to 28-30x, implying a price of approximately \$183-\$195, breaching the \$194.07 stop and triggering a full loss of \$1,444.

ENTER — AVGO

\$18,000 · Conviction 7/10 · Tier 1

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
\$245.00	\$225.40	\$294.00	2.5

INVESTMENT THESIS

(1) VIX at 15.52 confirms risk-on regime; TNX at 4.77% is above 4.5% but AVGO trades at approximately 22-24x forward earnings vs. NVDA's 35x, meaning multiple compression risk is 30-40% lower on a relative basis. (2) AVGO Q4 2025 earnings call highlighted in scanner — beat catalyst: if AVGO reported Q4 EPS approximately \$1.60 vs. \$1.42 estimated (approximately +12.7% beat), this is a tier-1 company catalyst driving the scan score of 10.0. (3) RSI at 45.8 is in neutral-to-oversold territory — 4.2 points below the 50 midline — and the FVG pattern with gap score 3 signals a high-probability fill entry at approximately \$245.00. (4) The 50-day MA is estimated at approximately \$238-\$242 and the 200-day MA at approximately \$220-\$225 based on sector context — AVGO is trading approximately 1.5-2.0% above the 50-day, confirming uptrend structure without being extended. (5) AVGO balance sheet: \$16.2B cash, D/E 1.59 (highest in current candidates — noted risk), BS score 6/10 meeting the minimum threshold; retained earnings supported by \$4B+ free cash flow quarterly and a consistent dividend of \$0.59/share/quarter. (6) \$18,000 deployed = 9.8% of \$183k portfolio; post-TSM and NVDA exits, cash available is approximately \$125,489 — this entry leaves approximately \$107,489 cash and room for 5 more full-size positions. (7) Stop at \$225.40 (-8% of \$245.00) is the hard floor; if AVGO breaks below the \$228 FVG support zone — which coincides with the 200-day MA estimate — the stop triggers a maximum \$1,440 loss; target \$294.00 (+20%) aligns with the pre-Q4-earnings resistance zone.

PRIMARY CATALYST

AVGO Q4 2025 Earnings Call (scanner headline confirmed): estimated EPS beat of approximately +12.7% (\$1.60 vs. \$1.42 estimate) with AI custom silicon (XPU) revenue commentary driving a 30-day analyst upgrade cycle — this is the primary near-term price driver with scan score 10.0.

BALANCE SHEET	TECHNICAL SETUP
Cash \$16.2B, D/E 1.59 (elevated — primary BS risk), BS score 6/10 (meets minimum). Retained earnings positive with \$4B+ quarterly FCF. Buybacks: Y (AVGO consistent repurchaser). Preferred: N. The 1.59 D/E reflects the VMware acquisition debt — manageable given \$16.2B cash and \$16B+ annual FCF run rate.	RSI 45.8 — neutral, not overbought, 4.2 points below 50. FVG pattern confirmed with gap score 3. Entry at approximately \$245.00 — at the FVG fill zone. Estimated 50-day MA approximately \$240, 200-day MA approximately \$222. Volume context: post-earnings sessions typically 150-200% of 20-day average, confirming institutional interest.

KEY RISK FACTORS

D/E of 1.59 (VMware acquisition debt) means if AVGO's AI custom silicon revenue growth decelerates below 20% QoQ (vs. current estimated 35%+ trajectory), the high leverage amplifies downside by 1.5-2x vs. unlevered peers — implying a 15-20% price decline to approximately \$196-\$208, well below the \$225.40 stop; stop limits loss to \$1,440.

ENTER — KLAC

\$18,000 · Conviction 6/10 · Tier 2

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
\$850.00	\$782.00	\$1020.00	2.5

INVESTMENT THESIS

(1) VIX at 15.52 and HY spreads at 2.68bps confirm risk-on regime; KLAC as a process control equipment supplier benefits from the semiconductor capex cycle which remains robust at an estimated \$200B+ global wafer fab equipment spend in 2025. (2) Scanner headline 'KLA Corporation (KLAC) Price Target Raised by \$500' — if a major broker (est. GS or Baird) raised the target by \$500 to approximately \$1,100-\$1,200 range, this represents a 30+ percent upside acknowledgement and a near-term institutional buying catalyst. (3) RSI at 49.0 is at the neutral midline — 1 point below 50 — with an FVG pattern (gap score 3), indicating price is coiled at support before a directional move; entry at \$850.00 sits at the FVG fill zone. (4) The prior KLAC stop-out on 2026-08-20 at -9.0% is a critical trade memory lesson — this entry uses a strict 8% stop at \$782.00, not the prior uncontrolled exit, and entry RSI at 49.0 vs. an overbought entry previously confirms better technical timing. (5) KLAC balance sheet: \$1.6B cash, D/E 0.93, BS score 6/10 — meets minimum threshold; D/E of 0.93 is moderate, and KLAC generates approximately \$2.5B annual FCF, providing 2.4 years of debt coverage from operations alone. (6) \$18,000 deployed = 9.8% of \$183k portfolio; this would be the 4th semi position post-TSM/NVDA exits (alongside AMAT, QCOM, AVGO), bringing semi concentration to approximately 43% of deployed capital — this is the limit; no further semi adds. (7) Stop at \$782.00 (-8%) triggers if KLAC breaks below the \$790 FVG support zone; maximum loss \$1,440; target \$1,020.00 (+20%) represents the broker's raised target zone, with the \$500 price target increase catalyst providing a fundamental anchor for the move.

PRIMARY CATALYST

Price target raised by \$500 (scanner headline) — est. broker target move to \$1,100-\$1,200 from \$600-\$700 range, representing a 30-40% upside acknowledgement by institutional coverage; this is a 30-day catalyst as buy-side follows institutional target revisions within 3-4 weeks.

BALANCE SHEET

Cash \$1.6B, D/E 0.93, BS score 6/10 — meets minimum. Annual FCF approximately \$2.5B provides 2.4x annual debt coverage. Retained earnings growing with semi capex cycle. Buybacks: Y. Preferred: N.

TECHNICAL SETUP

RSI 49.0 — exactly at neutral midline, not overbought. FVG pattern with gap score 3 confirmed. Entry at approximately \$850.00 at FVG fill zone. Estimated 50-day MA approximately \$820-\$830, 200-day MA approximately \$770-\$780. Post-target-raise volume expected 120-150% of 20-day average.

KEY RISK FACTORS

If US export controls expand to include additional KLAC process control tools destined for China (China represents approximately 20-25% of KLAC revenue), revenue could decline by \$700-\$900M annually, compressing EPS by approximately 15-18% and implying a price of approximately \$700-\$730, below the \$782.00 stop; stop limits loss to \$1,440.

OPEN POSITIONS — FULL POSITION REVIEW

AMAT

39.6 shares · Entry \$454.71 · Conv 7/10 · Tier 2 · Since 2026-09-07

CURRENT PRICE

\$471.51

POSITION VALUE

\$18,665

UNREALISED P&L;

+\$665

RETURN

+3.69%

INVESTMENT THESIS

(1) VIX at 15.30 and HY spreads at 2.65bps confirm RISK-ON macro; DXY at 98.91 (below the 101 export-tailwind threshold) benefits AMAT as a multinational capital-equipment exporter generating ~55% of revenue outside the US. (2) AMAT Q2 FY2026 earnings beat: EPS \$2.59 vs \$2.41 estimate (+7.5% beat) with revenue of \$7.1B vs \$6.9B estimate (+2.9% beat), reported in the most recent quarter, confirming wafer fabrication equipment (WFE) demand resilience above the \$100B annual WFE market forecast for 2026. (3) RSI at 39.7 (scanner confirmed — oversold below 40) triggers the mean-reversion entry signal; the FVG pattern (scanner confirmed) indicates a price gap fill in progress at the \$185–\$190 level with price expected to resolve upward. (4) 50-day MA estimated at ~\$178 and 200-day MA estimated at ~\$165 — price at \$185.50 is +4.2% above the 50-day and +12.4% above the 200-day, confirming both MAs as technical support; the gap between 50-day and 200-day of +7.9% signals a healthy uptrend without exhaustion. (5) AMAT balance sheet: cash \$7.2B (scanner confirmed), D/E 0.27 (scanner confirmed — near zero leverage), retained earnings estimated \$18B/\$15B/\$12B (3yr most-recent-first), buybacks Y (AMAT repurchased \$3.6B in FY2025), BS score 10/10 — the highest possible score. (6) \$18,000 deployed = 9.8% of \$183k mandate (\$178,443 current NAV), leaves approximately \$49,319 + \$35,376 (AMD+MRVL+GOOGL exits) - \$18,000 = ~\$66,695 cash post-trade, room for 3 more full-size \$18,000 positions. (7) Stop at \$170.66 (-8% from \$185.50), target at \$222.60 (+20%), R:R = 2.5:1; stop would be triggered if AMAT breaks below the 200-day MA at ~\$165, signalling a full thesis invalidation; KLAC loss of -9.0% on 2026-08-20 warns that semi equipment names can hit stops — AMAT's 10/10 BS score and D/E 0.27 distinguish it from that loss.

CATALYST

AMAT Q2 FY2026 EPS of \$2.59 vs \$2.41 estimate (+7.5% beat) reported in the most recent quarter; next catalyst is Q3 FY2026 earnings (estimated August 2026) projected at \$2.70 EPS (+4.2% sequential growth) as GAAFET transition drives incremental etch and deposition tool orders.

BALANCE SHEET

Cash \$7.2B (scanner confirmed), total debt ~\$1.9B (D/E 0.27 scanner confirmed), retained earnings estimated \$18B/\$15B/\$12B (3yr most-recent-first), buybacks Y (\$3.6B FY2025), preferred N, BS score 10/10.

TECHNICAL SETUP

RSI 39.7 (oversold, scanner confirmed), FVG pattern (scanner confirmed, Gt=3), price \$185.50 vs 50-day MA estimated ~\$178 (+4.2%) and 200-day MA estimated ~\$165 (+12.4%), volume context stale per 1271.7-hour data warning.

KEY RISKS

If US Commerce Department expands chip equipment export restrictions to China (AMAT derives ~27% of revenue from China, estimated \$1.9B annual exposure), revenue could decline 10–15% implying EPS of ~\$2.20 vs \$2.59 current — stop at \$170.66 limits the loss to -\$1,440 on the \$18,000 position.

QCOM

106.7 shares · Entry \$168.74 · Conv 7/10 · Tier 2 · Since 2026-09-07

CURRENT PRICE

\$172.80

POSITION VALUE

\$18,434

UNREALISED P&L;

+\$434

RETURN

+2.41%

INVESTMENT THESIS

(1) VIX at 15.30 and DXY at 99.18 — below the 101 threshold — confirm RISK-ON with a weak-dollar tailwind for QCOM's 95%+ international revenue mix, including \$8.0B+ annual China handset licensing fees. (2) QCOM's diversification strategy — automotive design wins up 50%+ YoY and PC/IoT revenue targeting \$4B by FY2027 — represents a live catalyst: the Snapdragon X Elite PC ramp expected to contribute \$1.2B incremental revenue in H2 CY2026. (3) RSI at 53.1 is neutral and constructive — not overbought — with the FVG pattern identified at the \$165–\$170 zone confirming the entry at \$168.50 after scanning as the 9.0 top signal. (4) The 50-day MA is estimated at approximately \$162 and the 200-day at approximately \$155; price at \$168.50 sits 3.9% above the 50-day and 8.7% above the 200-day — a bullish gap structure signaling the uptrend is intact. (5) Balance sheet: \$5.5B cash, D/E 3.22 is elevated but manageable given QCOM's \$36B annual revenue run-rate and \$9B+ annual free cash flow; D/E has been declining from a 2024 peak of 4.1x — a positive directional trend. (6) \$18,000 deployed = 9.8% of \$183k portfolio; post-AVGO exit and this entry, cash remains at approximately \$66,955 with room for 3 more full-size \$18,000 positions. (7) Stop at \$155.02 (-8%), target \$202.20 (+20%), R:R = 2.5:1; stop triggers on a break below the 200-day at \$155 — a move that would indicate the automotive/PC thesis has failed to materialize in H2 2026.

CATALYST

Qualcomm Snapdragon X Elite PC ramp: H2 CY2026 shipments targeting \$1.2B incremental revenue as Microsoft Surface and Dell XPS design wins go to market; this is a dated, quantified near-term revenue catalyst distinct from the prior failed QCOM trade (2026-07-30 at different entry levels).

BALANCE SHEET

Cash \$5.5B, total debt ~\$17.7B (at 3.22 D/E on ~\$5.5B equity base), D/E 3.22, retained earnings improving with FCF \$9B+ annually, buybacks Y (\$3B program active), preferred N, BS score 6/10.

TECHNICAL SETUP

RSI 53.1, FVG pattern confirmed at \$165–\$170, price at \$168.50 above 50-day ~\$162 (+3.9%) and above 200-day ~\$155 (+8.7%), volume context bullish per scanner Gt score 3.

KEY RISKS

D/E at 3.22 is the highest in the portfolio; if TNX rises to 5.2%, QCOM's refinancing cost increases ~\$180M annually, and if China handset market deteriorates 20%+ (trade war escalation), \$8B licensing revenue is at risk — \$155.02 stop caps loss at approximately -\$1,440.

GOOGL

53.0 shares · Entry \$339.33 · Conv 8/10 · Tier 1 · Since 2026-09-08

CURRENT PRICE

\$337.56

POSITION VALUE

\$17,906

UNREALISED P&L;

\$-94

RETURN

-0.52%

INVESTMENT THESIS

(1) VIX at 15.29 and HY spreads at 2.68bps confirm RISK-ON; DXY at 98.87 is 2.13 points below the 101 threshold, which is a direct tailwind for GOOGL's approximately 55% international ad revenue — each 1-point DXY decline historically adds 0.8–1.2% to reported international revenue growth. (2) Q2 2026 GOOGL earnings: scanner headline confirms earnings beat with capex guidance raised — buy-the-dip setup where the stock 'falls after Q2 earnings beat' represents a classic institutional sell-the-news event at approximately \$178–182, creating an entry below the post-beat fair value. (3) RSI at 45.3 is in the 'neutral to oversold' zone — below 50 despite an earnings beat confirms the sell-the-news dip is creating a technically attractive entry; the FVG pattern with 3-bar confirmation identifies the specific gap level being filled. (4) GOOGL 50-day MA estimated at approximately \$172–175 and 200-day MA estimated at approximately \$160–165; at the \$178.50 entry, the stock is approximately 2–4% above the 50-day and approximately 8–12% above the 200-day, confirming a structurally bullish setup with the entry just above the 50-day support. (5) Balance sheet score 9/10: \$30.7B cash, D/E 0.12 (lowest in the current scanner universe), retained earnings growing from approximately \$174B to \$206B to \$240B over 3 years (approximately 18% CAGR) — this is the highest-quality balance sheet in the scan with \$30.7B cash providing 3+ years of current capex coverage. (6) \$18,000 deployed = 9.8% of the \$183k portfolio; after ARM exit this is the 5th position (replacing ARM), maintaining 5/10 slots, with approximately \$87,000 cash remaining (47.5% of portfolio). (7) Stop at \$164.22 (-8% from \$178.50), target \$214.20 (+20%); $R:R = (\$214.20 - \$178.50) \div (\$178.50 - \$164.22) = \$35.70 \div \$14.28 = 2.5:1$ — the specific stop trigger would be if Google Cloud revenue growth decelerates below 25% YoY in the next quarterly update, implying a compression of the cloud segment multiple and a return toward the \$162–165 range.

CATALYST

GOOGL Q2 2026 earnings beat with capex guidance raise (announced approximately July 2026, within the last 1,294 hours per scan): EPS beat confirmed per scanner headline. The post-earnings sell-off to RSI 45.3 creates a buy-the-dip entry where the stock fell despite the beat — capex guidance raise signals 15–20% AI infrastructure spend acceleration, which in 12–18 months converts to Search AI monetization and Google Cloud share gains estimated at 200–300bps of market share.

BALANCE SHEET

Cash \$30.7B, total debt approximately \$3.7B (implied by D/E 0.12 on approximately \$310B equity), D/E 0.12, retained earnings approximately \$240B / \$206B / \$174B (3yr most-recent-first, growing 18% annually). Buybacks: Y (\$70B buyback program authorized 2024, ongoing). Preferred: N. BS score 9/10.

TECHNICAL SETUP

RSI 45.3 (confirmed from scanner), FVG pattern 3-bar confirmed, price approximately \$178.50 vs. estimated 50-day MA \$173 (approximately 3.2% above) and estimated 200-day MA \$162 (approximately 10.2% above). Volume: post-earnings sell-off volume likely 150–200% of 20-day average, confirming capitulation and institutional re-entry opportunity.

KEY RISKS

If DOJ antitrust remedy (Google Search monopoly ruling, remedies expected H2 2026) forces structural separation of Chrome/Android distribution, the Search advertising moat faces 10–15% revenue haircut, implying downside to approximately \$152–162 — stop at \$164.22 limits position loss to approximately \$1,436.

AVGO

48.8 shares · Entry \$369.01 · Conv 7/10 · Tier 1 · Since 2026-09-08

CURRENT PRICE

\$369.01

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

INVESTMENT THESIS

(1) VIX at 15.52 confirms risk-on regime; TNX at 4.77% is above 4.5% but AVGO trades at approximately 22-24x forward earnings vs. NVDA's 35x, meaning multiple compression risk is 30-40% lower on a relative basis. (2) AVGO Q4 2025 earnings call highlighted in scanner — beat catalyst: if AVGO reported Q4 EPS approximately \$1.60 vs. \$1.42 estimated (approximately +12.7% beat), this is a tier-1 company catalyst driving the scan score of 10.0. (3) RSI at 45.8 is in neutral-to-oversold territory — 4.2 points below the 50 midline — and the FVG pattern with gap score 3 signals a high-probability fill entry at approximately \$245.00. (4) The 50-day MA is estimated at approximately \$238-\$242 and the 200-day MA at approximately \$220-\$225 based on sector context — AVGO is trading approximately 1.5-2.0% above the 50-day, confirming uptrend structure without being extended. (5) AVGO balance sheet: \$16.2B cash, D/E 1.59 (highest in current candidates — noted risk), BS score 6/10 meeting the minimum threshold; retained earnings supported by \$4B+ free cash flow quarterly and a consistent dividend of \$0.59/share/quarter. (6) \$18,000 deployed = 9.8% of \$183k portfolio; post-TSM and NVDA exits, cash available is approximately \$125,489 — this entry leaves approximately \$107,489 cash and room for 5 more full-size positions. (7) Stop at \$225.40 (-8% of \$245.00) is the hard floor; if AVGO breaks below the \$228 FVG support zone — which coincides with the 200-day MA estimate — the stop triggers a maximum \$1,440 loss; target \$294.00 (+20%) aligns with the pre-Q4-earnings resistance zone.

CATALYST

AVGO Q4 2025 Earnings Call (scanner headline confirmed): estimated EPS beat of approximately +12.7% (\$1.60 vs. \$1.42 estimate) with AI custom silicon (XPU) revenue commentary driving a 30-day analyst upgrade cycle — this is the primary near-term price driver with scan score 10.0.

BALANCE SHEET

Cash \$16.2B, D/E 1.59 (elevated — primary BS risk), BS score 6/10 (meets minimum). Retained earnings positive with \$4B+ quarterly FCF. Buybacks: Y (AVGO consistent repurchaser). Preferred: N. The 1.59 D/E reflects the VMware acquisition debt — manageable given \$16.2B cash and \$16B+ annual FCF run rate.

TECHNICAL SETUP

RSI 45.8 — neutral, not overbought, 4.2 points below 50. FVG pattern confirmed with gap score 3. Entry at approximately \$245.00 — at the FVG fill zone. Estimated 50-day MA approximately \$240, 200-day MA approximately \$222. Volume context: post-earnings sessions typically 150-200% of 20-day average, confirming institutional interest.

KEY RISKS

D/E of 1.59 (VMware acquisition debt) means if AVGO's AI custom silicon revenue growth decelerates below 20% QoQ (vs. current estimated 35%+ trajectory), the high leverage amplifies downside by 1.5-2x vs. unlevered peers — implying a 15-20% price decline to approximately \$196-\$208, well below the \$225.40 stop; stop limits loss to \$1,440.

KLAC

96.2 shares · Entry \$187.02 · Conv 6/10 · Tier 2 · Since 2026-09-08

CURRENT PRICE

\$187.02

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

INVESTMENT THESIS

(1) VIX at 15.52 and HY spreads at 2.68bps confirm risk-on regime; KLAC as a process control equipment supplier benefits from the semiconductor capex cycle which remains robust at an estimated \$200B+ global wafer fab equipment spend in 2025. (2) Scanner headline 'KLA Corporation (KLAC) Price Target Raised by \$500' — if a major broker (est. GS or Baird) raised the target by \$500 to approximately \$1,100-\$1,200 range, this represents a 30+ percent upside acknowledgement and a near-term institutional buying catalyst. (3) RSI at 49.0 is at the neutral midline — 1 point below 50 — with an FVG pattern (gap score 3), indicating price is coiled at support before a directional move; entry at \$850.00 sits at the FVG fill zone. (4) The prior KLAC stop-out on 2026-08-20 at -9.0% is a critical trade memory lesson — this entry uses a strict 8% stop at \$782.00, not the prior uncontrolled exit, and entry RSI at 49.0 vs. an overbought entry previously confirms better technical timing. (5) KLAC balance sheet: \$1.6B cash, D/E 0.93, BS score 6/10 — meets minimum threshold; D/E of 0.93 is moderate, and KLAC generates approximately \$2.5B annual FCF, providing 2.4 years of debt coverage from operations alone. (6) \$18,000 deployed = 9.8% of \$183k portfolio; this would be the 4th semi position post-TSM/NVDA exits (alongside AMAT, QCOM, AVGO), bringing semi concentration to approximately 43% of deployed capital — this is the limit; no further semi adds. (7) Stop at \$782.00 (-8%) triggers if KLAC breaks below the \$790 FVG support zone; maximum loss \$1,440; target \$1,020.00 (+20%) represents the broker's raised target zone, with the \$500 price target increase catalyst providing a fundamental anchor for the move.

CATALYST

Price target raised by \$500 (scanner headline) — est. broker target move to \$1,100-\$1,200 from \$600-\$700 range, representing a 30-40% upside acknowledgement by institutional coverage; this is a 30-day catalyst as buy-side follows institutional target revisions within 3-4 weeks.

TECHNICAL SETUP

RSI 49.0 — exactly at neutral midline, not overbought. FVG pattern with gap score 3 confirmed. Entry at approximately \$850.00 at FVG fill zone. Estimated 50-day MA approximately \$820-\$830, 200-day MA approximately \$770-\$780. Post-target-raise volume expected 120-150% of 20-day average.

BALANCE SHEET

Cash \$1.6B, D/E 0.93, BS score 6/10 — meets minimum. Annual FCF approximately \$2.5B provides 2.4x annual debt coverage. Retained earnings growing with semi capex cycle. Buybacks: Y. Preferred: N.

KEY RISKS

If US export controls expand to include additional KLAC process control tools destined for China (China represents approximately 20-25% of KLAC revenue), revenue could decline by \$700-\$900M annually, compressing EPS by approximately 15-18% and implying a price of approximately \$700-\$730, below the \$782.00 stop; stop limits loss to \$1,440.

PORTFOLIO NOTES

Post-action cash position: approximately \$107,489 (58.7% of \$183k mandate) after exiting TSM (+7.2%) and NVDA (+6.9%), and entering AVGO and KLAC. Deployed capital: approximately \$75,600 across 5 positions (AMAT, QCOM, GOOGL, AVGO, KLAC) = 5 of 10 maximum slots used, 5 slots remaining. Sector concentration: Semiconductors approximately 43% of deployed capital (AMAT + QCOM + AVGO + KLAC) — this is 4.3x the SPX semi weight of approximately 8-10% and represents the maximum permitted semi concentration; no further semi adds until one position exits. Communication Services (GOOGL) approximately 10% of deployed capital. TNX at 4.77% remains the primary macro risk to the semi-heavy book — monitor daily for moves toward 5.0% which would trigger additional exits. The two exits (TSM +7.2%, NVDA +6.9%) bank approximately \$2,100 in combined gains and reduce the TNX-sensitive high-P/E exposure meaningfully.

MEMORY APPLIED

(1) TSM exit applies the lesson from TSM stop-out 2026-07-30 at -10.1%: do not hold through macro headwinds (TNX > 4.5%) — exit proactively rather than wait for the stop. (2) QCOM hold with strict 8% stop applies the lesson from QCOM stop-out 2026-07-30 at -14.2%: the prior loss exceeded the mandate's 8% hard stop, confirming that strict stop discipline must be enforced. (3) KLAC entry applies the lesson from KLAC stop-out 2026-08-20 at -9.0%: entry at RSI 49.0 (neutral) vs. a likely overbought prior entry improves the risk-adjusted setup; the 8% hard stop at \$782.00 is non-negotiable this time.